

Value and growth altogether

Second-largest deal to date

This morning, SLC announced the acquisition of Sierentz Agro for USD135mn (~R\$778mn), marking the second-largest transaction in the company's history. Sierentz operates in soybean, corn, and other agricultural production, alongside cattle under an integrated crop-livestock system. Its operations span 96k hectares of leased land across Maranhão (68k ha), Piauí (18k ha), and Pará (10k ha), with part of these areas suitable for second-crop planting, bringing the total planting potential to 135k hectares. However, these areas already involve a binding agreement to sell 33k hectares of the total area to Terrus for R\$191mn. Adjusting for this sale, SLC will ultimately acquire the rights to cultivate 66k hectares (~100k ha of planted area considering the second crop) for R\$586mn, increasing its total planted area by ~13% versus the 2024/25 crop season.

Valuation appears attractive and underscores the power of SLC's model

Even under conservative assumptions, the economics appear compelling. If we assume SLC can generate an EBITDA of R\$2.5k/ha on these lands—34% below our 2025 estimate—this would translate into an additional EBITDA of R\$250mn, implying a purchase multiple of just 2.3x EV/EBITDA, less than half of SLC's trading multiple of 4.9x EV/EBITDA 2025. Additionally, the leasing terms seem favorable, with a cost of 9.3 bags of soybeans per hectare over a 13-year contract—below our estimate of SLC's current average leasing cost of ~13 bags/ha.

NPV of ~R\$511mn

We ran a back-of-the-envelope calculation to estimate the deal's net present value. Assuming R\$250mn in annual EBITDA and SLC achieving a soybean yield of 60 bags/ha, with a leasing cost of 9.3 bags/ha, the estimated annual lease expense would be R\$40mn. We also factor in maintenance capex at 15% of EBITDA, in line with SLC's current reporting. Based on these assumptions, we reach an NPV for the acquisition of R\$511mn—equivalent to 6% of SLC's market cap.

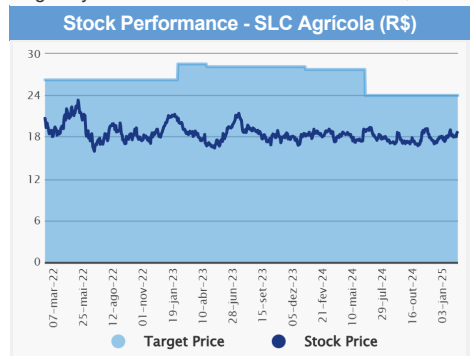
When growth meets value; BUY

SLC has long positioned itself as an anti-cyclical company—maintaining its footprint and generating cash when commodity prices are high while expanding when prices are low. This strategy is once again on display. The company informally targets 35k

Valuation	12/2022	12/2023	12/2024E	12/2025E	12/2026E
RoIC (EBIT) %	28.0	21.0	13.3	19.4	20.2
EV/EBITDA	4.7	5.3	6.7	4.9	4.4
P/E	6.6	8.1	13.9	9.7	6.6
Net dividend yield %	5.8	7.6	5.5	0.0	5.1
Financials (R\$m)	12/2022	12/2023	12/2024E	12/2025E	12/2026E
Revenues	9,590	9,151	7,615	9,740	10,678
EBITDA	3,178	2,709	2,012	2,785	3,108
Net Income	1,441	1,027	554	843	1,250
EPS (R\$)	7.06	2.33	1.26	1.92	2.84
Net DPS (R\$)	2.73	1.43	0.96	0.00	0.96
Net (debt) / cash	(5,486)	(6,071)	(5,703)	(5,379)	(5,539)

Rating	Buy
12m Price Target	R\$24.00/US\$4.17
Price	R\$18.67/US\$3.24
RIC:	SLCE3.SA
BBG:	SLCE3 BZ

Trading Data & Return Forecasts	
Forecast price appreciation	+28.5%
Forecast dividend yield	5.2%
Forecast stock return	+33.7%
52-wk range	R\$ 19.4-R\$ 16.7
Market cap.	R\$ 8,212 mn
Shares o/s (m)	439.8 mn
Free Float	45.0
Avg. daily value	R\$ 43 mn



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hectares of annual expansion, yet it has consistently exceeded this benchmark. After increasing its leased area by 60k hectares in the past crop season, the Sierentz acquisition alone delivered nearly 3x the annual growth target in one move. SLC offers a rare mix of growth and value, securing high-quality land at an attractive price while operating at the bottom of the commodity cycle. The stock remains one of our Top Picks.

Table 1: NPV of the transaction

	1	2	3	4	5	6	7	8	9	10	Perpetuity
Investment	(275)	(156)	(156)								
EBITDA		250	250	250	250	250	250	250	250	250	
Leasing		(39)	(39)	(39)	(39)	(39)	(39)	(39)	(39)	(39)	
Capex		(38)	(38)	(38)	(38)	(38)	(38)	(38)	(38)	(38)	
FCF	(275)	18	18	174	174	174	174	174	174	174	1,158

WACC	15%
IRR	39%
NPV	511
% of the market cap	6.0%

Source: BTG Pactual estimates

SLC Agrícola

Income Statement (R\$m)	12/2022	12/2023	12/2024E	12/2025E	12/2026E
Revenue	9,590	9,151	7,615	9,740	10,678
Operating expenses (ex depn)	(6,450)	(6,454)	(5,597)	(6,955)	(7,570)
EBITDA (BTG Pactual)	3,178	2,709	2,012	2,785	3,108
Depreciation	(489)	(519)	(556)	(612)	(686)
Operating income (EBIT, BTG Pactual)	2,690	2,189	1,456	2,173	2,422
Other income & associates	(126)	(254)	237	0	0
Net Interest	(699)	(711)	(935)	(978)	(707)
Abnormal items (pre-tax)	0	0	0	0	0
Profit before tax	1,864	1,224	759	1,194	1,714
Tax	(469)	(286)	(124)	(299)	(429)
Profit after tax	1,395	938	635	896	1,286
Abnormal items (post-tax)	0	0	0	0	0
Minorities / pref dividends	(69)	(42)	6	(42)	(44)
Net Income (local GAAP)	1,326	896	641	854	1,242
Adjusted Net Income	1,441	1,027	554	843	1,250
Tax rate (%)	25	23	16	25	25
Per Share	12/2022	12/2023	12/2024E	12/2025E	12/2026E
EPS (local GAAP)	6.49	2.03	1.46	1.94	2.82
EPS (BTG Pactual)	7.06	2.33	1.26	1.92	2.84
Net DPS	2.73	1.43	0.96	0.00	0.96
BVPS	22.52	11.19	11.49	13.43	15.30
Cash Flow (R\$m)	12/2022	12/2023	12/2024E	12/2025E	12/2026E
Net Income	1,441	1,027	554	843	1,250
Depreciation	489	519	556	612	686
Net change in working capital	(168)	(311)	1,076	464	(218)
Other (operating)	1,199	812	44	0	0
Net cash from operations	2,845	1,916	2,317	1,930	1,710
Cash from investing activities	(1,121)	(1,661)	(1,646)	(1,606)	(1,249)
Cash from financing activities	101	(50)	708	0	(421)
Bal sheet chge in cash & equivalents	1,096	378	1,501	324	40
Balance Sheet (R\$m)	12/2022	12/2023	12/2024E	12/2025E	12/2026E
Cash and equivalents	1,237	1,615	3,116	3,440	3,480
Other current assets	5,797	5,754	5,344	5,164	5,563
Total current assets	7,033	7,368	8,460	8,603	9,043
Net tangible fixed assets	3,865	4,534	5,603	6,596	7,159
Net intangible fixed assets	0	0	0	0	0
Investments / other assets	3,970	3,954	3,470	3,470	3,670
Total assets	14,868	15,856	17,532	18,670	19,872
Trade payables & other ST liabilities	2,770	2,311	2,834	3,118	3,298
Short term debt	1,819	1,729	2,433	2,433	2,433
Total current liabilities	4,590	4,040	5,268	5,551	5,732
Long term debt	4,903	5,957	6,385	6,385	6,586
Other long term liabilities	479	617	564	564	564
Total liabilities	9,972	10,614	12,217	12,500	12,881
Equity & minority interests	4,896	5,242	5,315	6,169	6,990
Total liabilities & equities	14,868	15,856	17,532	18,670	19,872

Company Profile

SLC Agrícola is a Brazilian agribusiness company, which owns one of the largest land portfolios in the country and is one of the most important agricultural producers, focused on cotton, soybean and corn production. It is exposed to agricultural commodity and land price variation. Its farms show above average yields due to its modern production system, rigorous cost control and high quality land. The company is controlled by the Logemann family and is run by a highly professional management with long term experience in the sector.

Financial ratios	12/2022	12/2023	12/2024E	12/2025E	12/2026E
EBITDA margin	33.1%	29.6%	26.4%	28.6%	29.1%
Operating margin	28.0%	23.9%	19.1%	22.3%	22.7%
Net margin	15.0%	11.2%	7.3%	8.7%	11.7%
RoE	35.5%	21.6%	11.1%	15.4%	19.8%
RoIC	28.0%	21.0%	13.3%	19.4%	20.2%
EBITDA / net interest	4.5x	3.8x	2.2x	2.8x	4.4x
Net debt / EBITDA	1.7x	2.2x	2.8x	1.9x	1.8x
Total debt / EBITDA	2.1x	2.8x	4.4x	3.2x	2.9x
Net debt / (net debt + equity)	52.8%	53.7%	51.8%	46.6%	44.2%

Source: Company reports and BTG Pactual estimates. Valuations: based on the last share price of that year(E) based on share price as of 07-mar-2025

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Neutral	Expected total return between +10% and -10% the company's sector average.	34%	51%
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SLC Agrícola	SLCE3.SA	Buy	R\$18.67/US\$3.24	2025-03-07
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Statement of Risk

SLC Agrícola. [BRSCLCE] - As a soft commodity producer, the company has very volatile results. Amongst SLC's main risks, we would flag: (i) climate conditions; (ii) currency fluctuation, as most of its sales are dollar denominated, while only half of its costs are exposed to currency changes; (iii) exposure to very volatile soft commodity prices; (iv) the lack of visibility and limited liquidity on land monetization; (v) land price exposure and (vi) uncertainties over the current regulatory framework in the country.

Valuation Methodology

SLC Agrícola. [BRSCLCE] - Our target price is DCF-based and discounted at a USD-nominal WACC of 7.2%